

to replace—because what is on the table is unique value, not commodity parts.

White-label experience: Parts as plug-and-play intelligent solutions

One provocative way to think about this shift is to ask: Are we moving from white-labeling entire products to white-labeling parts? Traditionally, ‘white label’ products are fully developed items that a company can rebrand as their own (common in consumer electronics and appliances). Now, with intelligent subsystems, an OEM can essentially white-label a part of their product.

We already live in this world to some extent. Consider how many gadgets tout ‘with Alexa built-in’—the manufacturer didn’t develop that voice assistant; they just integrated Amazon’s AI. To the end-user, it is part of the product experience. In the automotive realm, Amazon’s Alexa integration has been cited as a successful example of a supplier providing a branded intelligent feature to OEMs, almost as a plug-in module. The carmaker gets a state-of-the-art voice AI (which would be enormously expensive to build in-house), and Amazon expands Alexa’s reach—a win-win, but also a sign that a chunk of the user experience was effectively outsourced and is a ‘white-label.’

Now extend this concept further. Imagine a Tier-0.5 supplier develops an AI-driven sensor platform that can plug into various products. This could be a smart

camera module that provides person detection, gesture recognition, and interactions akin to the human eye.

There are clear benefits to this approach. OEMs can dramatically cut development time for complex features and leverage the best technologies on the market by partnering. It allows them to focus on their core competencies (such as brand, distribution, system integration, and overall user experience), while the specialist partner handles deep tech in a single area. It can also create more consistent experiences across an industry—for better or worse, if everyone uses Alexa, voice interaction in many products reaches a reliable baseline.

For suppliers looking at this trend, it is a huge opportunity. It means you can move up the value chain by not just selling hardware, but hardware-plus-software-plus-service.

I envision a future where Tier 0.5 provides OEM with not just a bill of materials, but a bill of capabilities: “Here is a module, and here is what it enables—a voice interface, or a predictive maintenance alert system, or a multi-sensor gesture control—all ready to integrate.”

Embracing the era of intelligent parts and micro interactions

The evolution we are witnessing—more electronics in products, distributed edge intelligence, embedded HMI, and closer OEM-supplier collaboration—all point to one overarching shift: the locus of end-user experience is moving down the hierarchy, from the product level to the part level.

The smartest idea in a product might be inside a component, and that changes how products are designed, how companies partner, and how end users experience technology.

For OEMs, success in this new era means mastering the integration of experiences. That involves recognising where to build in-house experiences versus where to partner. It also means rethinking internal R&D; it may be less about inventing every end-user experience wheel and more about crafting the vehicle that best leverages some pre-invented wheels.

For suppliers (especially those historically in the Tier-1 category), this is a call to action to level up. Becoming a Tier-0.5 partner is not just a buzzword, it is a strategic imperative to stay relevant and capture more value. It means investing in own product development, developing or partnering for software and AI competencies, and even adopting a solutions-oriented mindset (perhaps offering GCC-like development centres or labs for key clients, where they work side by side on next-gen parts). It also means embracing new business dynamics with longer-term contracts, joint (or clear) IP agreements, and a seat at the table for end-user experience roadmap discussions.

The journey from Tier-1 to Tier-0.5 is challenging, but it aligns with a future where **the part is king**. And if the part is king, **those who create the most ingenious micro-interactions will lead the next wave of innovation.** **EFY**

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